



The deal values Ranbaxy at \$8.5 billion.

Daiichi Sankyo will buy 51-62% of Ranbaxy for \$3.4-4.6 billion.

Ranbaxy will become a subsidiary. Malvinder Singh will continue as MD and CEO.

Warning bells are echoing in pharma corridors. D.S. Brar, chairman, GVK Biosciences, who once spearheaded Ranbaxy, endorses the deal as the "best possible for shareholders", but warns that Indian companies professing to go global have a lot to rethink. "Ranbaxy was a prime mover across sectors, yet its promoters thought it wise to exit," he says. Because size matters and competition is intense. Companies such as global giant Teva Pharmaceuticals, says Brar, provide a wide bouquet of prescription pharma, generics and biologicals. Indian

wannabes need to match this to survive and sustain their ambitions.

The challenge of globalisation is not limited to the pharma sector—the IT sector is also seen as lacking in scale. Nor is it limited to those with global plays. The predators can be the prey and the hunters can be the hunted. Global ambitions require financial muscle, tenacity and above all, strategic vision. Ratan Tata exemplifies this, innovating at home with a Nano to ramp up the market share in India, and acquiring Corus for market access. If Anil Ambani is chasing telecom major



D. S. BRAR CHAIRMAN, GVK BIOSCIENCES

Given the challenges faced by the pharma industry, this is a very good deal.



N. PRASAD VICE-CHAIRMAN, MATRIX PHARMA

It is a classic realignment of forces, a positive development. I expect more deals like this.

STRONG MEDICINE

- The buyout propels Daiichi Sankyo into the top 10 companies in the \$120-billion global generic-pharmaceutical market.
- The company's reach will expand from 21 to 56 countries.
- The deal will synergise Ranbaxy's prowess in generics and Daiichi's ability to innovate.
- It will impact the euphoria generated by the IT and pharma sectors so far. Indian companies need to ramp up scale to survive.
- Firms that want to go global have to keep technological and financial sustainability in mind.

MTN in rainbow country, it is to sustain global aspirations.

True, globalisation is a two-way street and Indian entities will acquire and be acquired. For the better part of the millennium, they have used high valuation fuelled by the India story to ride the global wave. But now, as Singh says, "they will have to revisit their business models". As the world struggles to understand the magnitude of what seems like a long slowdown, India Inc will have to prepare for the end of a cushy ride and prove it has what it takes.

with Malini Bhupta and Nivedita Mukherjee